

## 24NNCV03036 24NNCV03036

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Case Number: 24NNCV03036 Hearing Date: July 2, 2026 Dept: T

Claire Yi He vs Sheng Li, et al.

Motion to Vacate Dismissal

Moving Party: Plaintiff Claire Yi He

Responding Party: New Rez LLC, a Delaware Limited Liability Company dba Shellpoint Mortgage Servicing, and Spartan Funding I Trust, U.S. Bank Trust National Association, not in its individual capacity but solely as Trustee

Tentative Ruling: Deny

### BACKGROUND

On July 19, 2024, Plaintiff Claire Yi He ("Plaintiff") filed a verified complaint against Defendants Sheng Li ("Li"), Fang Chen ("Chen"), South California Wood Inc., 5th Street Capital, Inc., Cassix LLC, Trinitas Capital Inc., Guangrong Zuo, and Does 1 through 20, alleging the following causes of action: (1) declaratory relief to establish an equitable lien; (2) judicial foreclosure; (3) fraud; (4) breach of contract; and (5) common counts for money had and received.

On August 5, 2024, Plaintiff filed an amendment to the complaint, substituting Doe 2 Defendants Newrez LLC, a Delaware Limited Liability Company dba Shellpoint Mortgage Servicing ("Newrez"). Ten day later, Plaintiff filed a filed another amendment to the complaint, substituting Does 4 for Spartan Funding I Trust, U.S. Bank Trust National Association, not in its individual capacity but solely as Trustee ("Spartan").

On May 8, 2025, Spartan filed a verified cross-complaint against Plaintiff, Li, Chen, and Roes, and Roes 1 to 50, alleging quiet title causes of action regarding a real property located at 37 West Woodruff Avenue, Arcadia, California 91007 (the "Property").

On November 6, 2025, Newrez filed a disclaimer of interest in the Property and therein agreed to be bound by a judgment entered in the instant action pursuant to the disclaimer's terms.

On December 5, 2025, upon Plaintiff's request, the Court entered the dismissal of Newrez from the action with prejudice.

On January 23, 2026, the Court granted Spartan's unopposed summary judgment motion on its cross-complaint.

On February 9, 2026, the Court entered the stipulation and judgment filed by Spartan, Plaintiff, Li, and Chen, establishing Spartan's status as a bona fide encumbrancer of the Property and establishing Spartan's priority lien interest over Plaintiff's claimed interest in the Property.

On February 11, 2026, upon Plaintiff's request, the Court entered the dismissal of Spartan from the action with prejudice.

On June 5, 2026, following a bench trial, the Court entered judgment in favor of Plaintiff, establishing equitable lien interest in the Property and establishing the juniority of this interest to Spartan's interest in the Property, as the current holder of all title, right, and interest in the 2020 5th Street Capital Deed of Trust recorded against the Property.

Plaintiff now moves to set aside the dismissals of Newrez and Spartan.

Newrez and Spartan separately oppose the motion. Newrez also filed a notice of jointer in Spartan's opposition. Plaintiff replies.

#### MOVING PARTY POSITION

Plaintiff seeks relief from the dismissal of Newrez because Plaintiff mistakenly believed that Newrez would not proceed with foreclosure of the Property until after the action was decided, as Newrez did not communicate to Plaintiff a contrary intent.

Plaintiff seeks relief from the dismissal of Spartan because Plaintiff mistakenly believed that Spartan did not intend to immediately pursue nonjudicial foreclosure before adjudication of the remaining claims concerning the Property, as Spartan never disclosed that their intention was to move forward with foreclosure after being dismissed.

Plaintiff argues that vacating these dismissals would serve the interest of justice as Plaintiff did not anticipate that foreclosure proceedings would imminently proceed in a manner that could potentially impair the Court's ability to adjudicate the remaining equitable claims regarding the Property. Under these circumstances, equity favors restoration of Spartan and New Rez as parties to ensure that all parties asserting interests against the Property remain subject to and bound by the Court's ultimate judgment, thereby allowing the parties' competing claims and interests to be fully and fairly adjudicated.

#### OPPOSITION

Newrez contends that Plaintiff has not shown mistake, inadvertence, surprise, or excusable neglect under Code of Civil Procedure section 473(b) as Plaintiff fails to identify any reasonable mistake concerning Newrez's role. Newrez plainly stated that it remained the current servicer of the 5th Street loan and that it would be bound by a judgment entered in the action, which it has done in accordance with the disclaimer's terms. In addition, as Newrez claims no independent interest in the Property, no outstanding claim requires Newrez's presence as a party. Further, the requested equitable relief is not warranted under these circumstances.

Spartan initially contends that Plaintiff's supplemental brief in support of her motion for preliminary injunction confirms that Plaintiff did not dismiss Spartan based on a mistaken belief that Spartan would not proceed with the foreclosure. The instant motion also fails as a matter of law because it rests entirely on Plaintiff's unilateral assumption about Spartan's future conduct rather than an identifiable clerical error, procedural defect, or misunderstanding of law. Vacating the dismissal would also substantially prejudice Spartan because its lien rights had already been adjudicated prior to dismissal.

Spartan also seeks the imposition of monetary sanctions in the amount of \$5,850.00 under Code of Civil Procedure sections 128.7 and 128.5 based on the contradictory positions advanced by Plaintiff in the instant motion and in the motion for preliminary injunction as to Plaintiff's understanding of Spartan's lien priority and foreclosure enforcement rights with respect to the Property.

## REPLY

Plaintiff contends that issues relating to potential surplus funds compel cannot be resolved without defendants being parties to the case and that defendants request for sanctions should be denied.

## ANALYSIS

### I. Legal Standard

Under Code of Civil Procedure section 473(b), the Court may relieve a party from a dismissal taken against the party through their mistake, inadvertence, surprise, or excusable neglect. This application must be filed no more than six months after entry of the order from which relief is sought, and must contain an affidavit of fault demonstrating the moving party's mistake, inadvertence, surprise, or excusable neglect. (Code Civ. Proc. § 473, subd. (b).) Moreover, under Section 473, the moving party bears "the burden of demonstrating some excusable ground" that justifies a court's vacating of a dismissal. *¿* (Basinger v. Roger & Wells (1990) 220 Cal.App.3d 16, 23–24.) In addition, "[e]ven after a voluntary dismissal with prejudice has been filed, the trial court has jurisdiction to vacate the judgment of dismissal under Code of Civil Procedure section 473 where it has been entered as a result of the plaintiff's 'mistake, inadvertence, surprise, or excusable neglect.' [Citation.]" (Id. at p. 21.)

### II. Request for Judicial Notice

Pursuant to Spartan's request, the Court takes judicial notice of exhibited filings in the instant action. (Evid. Code § 452, subds. (d), (h).)

### III. Discussion

Initially, the Court notes that Plaintiff fails to specify whether she is seeking mandatory or discretionary relief under Code of Civil Procedure section 473(b) based on her counsel's mistaken belief as to the intentions of Newrez and Spartan prior to their dismissal from the action. However, as Plaintiff voluntarily dismissed both Newrez and Spartan, the Court finds that mandatory relief is unavailable to undo these dismissals. (Jackson v. Kaiser Foundation Hospitals, Inc. (2019) 32 Cal.App.5th 166, 176 [concluding mandatory relief was unavailable under Section 473(b) to undo the plaintiff's voluntary dismissal of her action because the mandatory relief provision reaches only those dismissals that are procedurally equivalent to a default].) Accordingly, the Court shall determine whether to grant Plaintiff discretionary relief due to her counsel's purported mistake.

A mistake justifying relief under section 473(b) may be one of fact or law. (H.D. Arnaiz, Ltd. v. County of San Joaquin (2002) 96 Cal.App.4th 1357, 1368.) "A mistake of fact exists when a person understands the facts to be other than they are; ..." (Id. [quoting Gilio v. Campbell (1952) 114 Cal.App.2d Supp. 853, 857].) "A mistake sufficient to vacate a dismissal may be found where a party, under some erroneous conviction, does an act he would not do but for the erroneous conviction." (Id. at p. 1369.) "A party who seeks relief under section 473 on the basis of mistake or inadvertence of counsel must demonstrate that such mistake, inadvertence, or general neglect was excusable because the negligence of the attorney is imputed to his client and may not be offered by the latter as a basis for relief." (Zamora v. Clayborn Contracting Group, Inc. (2002) 28 Cal.4th 249, 258 [quoting Generale Bank Nederland v. Eyes of the Beholder Ltd. (1998) 61 Cal.App.4th 1384, 1399].) To determine if an attorney's mistake was excusable, "the court inquires whether 'a reasonably prudent person under the same or similar circumstances' might have made the same error.'" (Zamora, supra, at p. 258 [quoting Bettencourt v. Los Rios Community College Dist. (1986) 42 Cal.3d 270, 276].) "Conduct falling below the professional standard of care, such as failure to timely

object or to properly advance an argument, is not therefore excusable. To hold otherwise would be to eliminate the express statutory requirement of excusability and effectively eviscerate the concept of attorney malpractice.” (Zamora, supra, at p. 258 [quoting Garcia v. Hejmadi (1997) 58 Cal.App.4th 674, 682].)

Here, Plaintiff’s counsel Mary Sun attests that Plaintiff dismissed Newrez because Sun believed “that [sic] New Rez would not commence any foreclosure sale of the Property until final judgment is entered in this case” and that Sun realized her mistake when she received the Notice of Default that was recorded on the Property. (Sun Decl. ¶ 4.) Sun also attests that “she agreed to not oppose Spartan’s motion for summary judgment and agreed to sign the Stipulation that asserted Spartan was a bone fide encumbrancer without notice” because Sun mistakenly believed that “Spartan had no intention to proceed with foreclosure” of the Property. (Id. ¶ 8.)

Based on this declaration, the Court finds that Plaintiff failed to set forth sufficient grounds for discretionary relief under Section 473(b). There is no evidence in the record that either party affirmatively misled Plaintiff’s counsel concerning their intent to proceed with foreclosure of the Property once Spartan’s status as a bona fide encumbrancer with a priority lien was adjudicated and entered into judgment. Nor does Sun’s declaration establish any reasonable excuse for this mistaken belief, or her failure to seek clarity on each party’s position regarding the timing of any exercise of this foreclosure right before proceeding with their dismissals. Nor does Sun’s mistaken belief as to this timing appear to be a material fact that would warrant setting aside dismissal of these parties, given counsel’s communicated position that Spartan’s lien is senior to Plaintiff’s equitable lien in the Property. Accordingly, given the nature of Sun’s mistaken belief regarding when Spartan would exercise its foreclosure right, as facilitated by Spartan’s loan servicer Newrez, the Court finds this purported mistake amounts to no more than professional incompetence.

Therefore, the motion to vacate their dismissals is denied.

#### SANCTIONS

Defendant Spartan failed to satisfy the safe harbor provisions set forth in Code of Civil Procedure Sections 128.5 and 128.7. As such, the request for sanctions is denied.

#### RULING

Plaintiff Claire Yi He’s Motion to Vacate Dismissals is DENIED. Defendant Spartan’s request for sanctions is DENIED.

Claire Yi He vs Sheng Li, et al.

Motion for Preliminary Injunction

Moving Party: Plaintiff Claire Yi He

Responding Party: Spartan Funding I Trust, U.S. Bank Trust National Association, not in its individual capacity but solely as Trustee

Tentative Ruling: Deny

#### MOTION FOR PRELIMINARY INJUNCTION

In her Supplemental Brief on Preliminary Injunction filed on June 17, 2026, Plaintiff effectively withdrew her motion and, instead, sought alternative relief in the form of an order requiring Defendant to preserve any surplus proceeds from any future foreclosure sale. Given that Defendant is statutorily obligated to preserve excess funds resulting from a sale when priority of junior lienholders is in dispute (Civil Code section 2924), Plaintiff is not entitled to the any alternative relief.

#### SANCTIONS

Defendant Spartan failed to satisfy the safe harbor provisions set forth in Code of Civil Procedure Sections 128.5 and 128.7. As such, the request for sanctions is denied.

#### RULING

Plaintiff Claire Yi He's Motion for Preliminary Injunction is DENIED. Defendant Spartan's request for sanctions is DENIED.